

Proposed ISQM 1¹: Issues

Objective of the IAASB discussion

The objective of this Agenda Item is to obtain the IAASB's input on the Exposure Draft (ED) of Proposed ISQM 1, set out in **Agenda Item 2–A**. This paper provides an overview of the Quality Control Task Force's (QCTF) considerations in further developing the ED since the IAASB's previous discussions.

Introduction

1. This paper should be read in conjunction with **Agenda Item 2–A**, the clean version of proposed ISQM 1, which will be used for the discussion with the IAASB. The following additional agenda papers have also been prepared for the discussion:
 - (a) **Agenda Item 2–B**: ED of proposed ISQM 1 (With track changes marked from the IAASB's discussion in September 2018). References to **Agenda Item 2–A** in this document also refer to **Agenda Item 2–B**.
 - (b) **Agenda Item 2–C**: Tracking of the requirements in extant ISQC 1² to proposed ISQM 1.
 - (c) **Agenda Item 2–D**: Outline of Explanatory Memorandum for proposed ISQM 1.

The IAASB is also asked to refer to **Agenda Item 5**, which is an issues paper summarizing common topics across the three quality management projects, and **Agenda Item 5–A**, which sets out the proposed conforming amendments to the International Standards on Auditing arising from the quality management projects.

2. The draft minutes of the September 2018 IAASB meeting have been included in Appendix 2. During the September 2018 meeting, an updated version of certain sections was presented to the IAASB to respond to the IAASB's comments from earlier in the week. These sections were the introduction, definitions, the firm's risk assessment process, information and communication, monitoring and remediation and networks. The QCTF considered the comments raised by the IAASB in September 2018 and the offline comments which were provided by IAASB members and made various amendments to the standard in response to such comments. The QCTF's consideration of issues from the September 2018 meeting focused on:
 - (a) For sections that were updated, the feedback from the IAASB on the updated version presented during the week (**Agenda Items 2–A.1 and 2–A.2** of the September 2018 meeting).
 - (b) For all other sections, the feedback from the IAASB on the version of the standard posted for the September 2018 meeting (**Agenda Item 2–A** of the September 2018 meeting).

¹ Proposed International Standard on Quality Management (ISQM) 1 (Previously International Standard on Quality Control 1) (Revised), *Quality Control for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance Engagements or Related Services Engagements*

² International Standard on Quality Control (ISQC) 1, *Quality Control for Firms that Perform Audits and Reviews of Financial Statements, and Other Assurance and Related Services Engagements*

This paper summarizes the more significant changes that have been proposed to ISQM 1 since September 2018 and the basis for the changes.

3. The IAASB discussion will follow the sequence of the standard, i.e., views on:
 - (a) The requirements and related application material will be sought at the same time.
 - (b) Significant matters highlighted in this paper will be sought at the time of discussion of the related requirements.

Significant Matters Considered by the QCTF

Removal of Reference to “Performance of Engagements” Throughout ISQM 1 (Paragraph 13 of Agenda Item 2–A)

4. During the IAASB's discussions in September 2018, suggestions were made to add a reference to “performance of engagements” in various places throughout the standard, for example, in the requirements to establish quality objectives for resources and information and communication (see, for example, paragraphs 41 and 42 of **Agenda Item 2–A**). However, the QCTF noted that the purpose of the system of quality management as a whole is to enable the performance of engagements, i.e., it is not only information and communication and resources that support the performance of engagements, but all of the various components operating together that support the performance of engagements. As a result, including references to “performance of engagements” in certain places of the standard may inadvertently undermine the importance of the other components to the performance of engagements. Accordingly, the QCTF has:
 - (a) Included additional material in the introduction to emphasize that all of the components operating together enable the performance of engagements (see paragraph 13 of **Agenda Item 2–A**).
 - (b) Removed, or not included, various references to “performance of engagements” in certain components that had been suggested by the IAASB.

Definition of Deficiency (Paragraph 22(a) and A6 of Agenda Item 2–A)

5. The QCTF recognized the IAASB's views that the definition of “deficiency” should more explicitly recognize quality objectives and quality risks, as well as responses. In particular, the QCTF noted that a definition of “deficiency” that only refers to design or operating flaws related to responses would be overly focused on responses that exist and potentially overlook responses that are absent because a quality objective or quality risk is absent. Accordingly, the revised definition includes a reference to quality objectives or quality risks that are absent.
6. The QCTF noted that the absence of a quality risk may not result in a quality objective not being achieved in all circumstances. For example, despite a quality risk not being identified, the firm may have responses in place that address the quality risk and the quality objective may therefore still be achieved (e.g., responses designed to address other quality risks). Accordingly, the QCTF has included specific application material to emphasize that the absence of a quality risk is a deficiency when it may result in a quality objective not being achieved (see paragraph A6 of **Agenda Item 2–A**).

The Firm Applying Professional Judgment (Paragraph 25 of **Agenda Item 2–A**)

7. Throughout proposed ISQM 1 there are various references to the firm applying professional judgment. The QCTF noted several offline comments from the IAASB that the firm itself cannot apply professional judgment as the firm is not a person. The QCTF is of the view that it is appropriate to refer to the firm's professional judgment for the following reasons:
- (a) Most of the requirements of proposed ISQM 1 are addressed to the firm. In all cases, the firm itself would not implement those requirements, but the individuals that make up the firm would implement those requirements.
 - (b) The definition of "firm" in proposed ISQM 1 implies that the firm is comprised of one or more individuals who are professional accountants.

Determining that the Objective of the Standard has been Achieved and Establishing Additional Quality Objectives (Paragraphs 25, 29, A18 and A19 of **Agenda Item 2–A**)

8. In response to the IAASB comments in September 2018, the QCTF has proposed a new explicit requirement that requires the firm to determine whether it is appropriate to establish additional quality objectives beyond those required by the standard, in order to achieve the objective of the standard overall (see paragraph 29 of **Agenda Item 2–A**).
9. The QCTF also considered the interrelationship of the requirement to establish additional quality objectives with the requirement for the firm to take additional actions when it is determined that the objective of the standard has not been achieved (paragraph 23 of the September 2018 draft of proposed ISQM 1, which was adapted from paragraph 15 of extant ISQC 1). The QCTF is of the view that the firm's risk assessment process, in conjunction with the requirement for leadership to determine whether the objectives of the system have been achieved (paragraph 56 of **Agenda Item 2–A**), provides the mechanism that requires the firm to take actions such that the objective of the standard is achieved, i.e.:
- (a) The firm is required to determine whether it is appropriate to establish additional quality objectives beyond those required by proposed ISQM 1, in order to achieve the objective of the standard (see paragraph 29 of **Agenda Item 2–A**).
 - (b) The firm is required to identify and assess quality risks (i.e., none are prescribed in the standard and therefore it is the firm's responsibility to identify all the quality risks to the achievement of the quality objectives).
 - (c) The firm is required to design and implement responses to address the quality risks and the standard explicitly states that the responses required by the standard are not sufficient to address all of the quality risks such that the objective of the standard would be achieved (see paragraphs 10(c) and A57 of **Agenda Item 2–A**).
 - (d) Leadership is required to evaluate whether the system of quality management provides reasonable assurance that the objectives stated in paragraph 21(a) and (b) have been achieved and if it does not, further actions are required (see paragraphs 56–58 of **Agenda Item 2–A**).

Accordingly, the QCTF agreed that the requirement in paragraph 23 of the September 2018 draft is redundant and creates confusion as to what "additional actions" would be expected of the firm.

10. However, given the new risk-based approach, the QCTF recommends highlighting that the application of professional judgment is essential to the achievement of the objective of the standard, because the nature and circumstances of the firm and its engagements vary widely and cannot be fully anticipated in the standard. Therefore, the QCTF has proposed combining paragraphs 23, 24 and 25 of the September 2018 draft into a single paragraph, together with related application material (see paragraphs 25, A18 and A19 of **Agenda Item 2–A**).

Financial Resources (Paragraphs 26(e), 41, A33 and A115 of **Agenda Item 2–A**)

11. An IAASB member noted that although the resources component included financial resources, the quality objectives in the resources component did not address financial resources. As a result, the QCTF observed concerns about what would be expected of the firm for financial resources, for example, whether the firm would be expected to establish quality objectives specific to financial resources. The QCTF agreed that financial resources should not be explicitly referenced in the resources component because:
- (a) Financial resources are addressed by the quality objectives in governance and leadership, including the quality objectives that address:
 - (i) Appropriate resource planning and the overall management of resources in the context of the firm's governance and leadership (see paragraph 26(c) of **Agenda Item 2–A**).
 - (ii) Financial and operational priorities, given the relationship between financial resources and the firm's financial priorities (see paragraph 26(e) of **Agenda Item 2–A**).
 - (b) While financial resources are necessary for obtaining, developing, using and maintaining other types of resources, the resources component deals with specific operational aspects of the other types of resources, rather than obtaining the financial resources for the other resources.
12. Paragraphs A33 and A115 of **Agenda Item 2–A** further explain the relationship between the governance and leadership component and the resources component.

Operational Responsibility for Independence

13. The QCTF considered the suggestion from an IAASB member that there should be a requirement for the firm to assign operational responsibility for relevant ethical requirements, instead of independence. In considering the proposal, the QCTF noted that:
- (a) The issue of having an individual in the firm responsible for independence was originally brought to the attention of the IAASB by the International Ethics Standards Board for Accountants (IESBA). It is the understanding of the QCTF that the regulatory community had raised concerns with the IESBA regarding how firms were addressing breaches of independence because of the importance of independence to the performance of audit engagements.
 - (b) The suggestion for a requirement for the firm to assign responsibility for independence was discussed in the Invitation to Comment (ITC). There were mixed views from respondents to the ITC regarding whether there should be a specific requirement for the firm to identify appropriate personnel within firm leadership to be responsible and accountable for independence matters.
 - (c) In previous discussions with the IAASB, there was general support for the requirement for the firm to assign operational responsibility for independence.

14. Accordingly, the QCTF propose that the requirement should remain focused on operational responsibility for independence, because requiring the individual to be responsible for relevant ethical requirements may have the inadvertent effect of diluting the importance of independence. However, the QCTF suggest exploring the views of respondents to the ED regarding whether operational responsibility for independence should be extended to responsibility for relevant ethical requirements.

Acceptance or Continuance of Client Relationships or Specific Engagements

15. In the September 2018 draft, paragraph 38(d) addressed the firm's responsibilities when information arises after accepting or continuing a client relationship or specific engagement. The requirement attempted to differentiate between two types of information:
- (a) Information that existed at the time the decision to accept or continue the client relationship or specific engagement was made, but the firm did not know of the information.
 - (b) Information that arises only after the decision to accept or continue the client relationship or specific engagement, for example, because of an event or circumstance that has arisen subsequent to the decision.

However, IAASB comments highlighted varying interpretations of the requirement. Accordingly, the QCTF has revised the requirement and included application material to better explain the different types of information that may arise (see paragraphs 37(d) and A88 of **Agenda Item 2–A**).

16. The QCTF has also introduced new application material to enhance the linkage with proposed ISA 220 (Revised) (see paragraphs A76, A88 and A89 of **Agenda Item 2–A**).

Information and Communication

17. The QCTF noted the IAASB's concerns regarding the clarity of the requirement addressing communication with external parties. In considering these views and the appropriate revisions to paragraphs 42(e) and 43(c) of **Agenda Item 2–A**, the QCTF:
- (a) Noted the need to provide more emphasis to the nature, timing, extent and content of the communication to external parties, and therefore adjusted the lead in of paragraph 43(c) to focus less on the identification of the external parties (the identification of the external parties is dealt with in the subparagraphs of paragraph 43(c) of **Agenda Item 2–A**).
 - (b) Sought to clarify when the firm may determine it appropriate to communicate externally (i.e., when there are external parties who may use such information to support their understanding of the quality of the engagements performed by the firm).
 - (c) Considered whether to further strengthen the encouragement of communication externally and agreed that the judgment needs to remain with the firm given firms' varying circumstances and the varying nature of communication. Nevertheless, a reference to transparency reports has been included in the requirement, as suggested by an IAASB member, which may prompt firms to more thoroughly consider the need for a transparency report.
 - (d) Debated whether it is necessary to add criteria in the requirement that addresses the nature, timing and extent of the communication to external parties. The QCTF agreed that the application material in paragraphs A151–A154 of **Agenda Item 2–A** remains appropriate, since a requirement that includes criteria for the nature, timing and extent of communication may not be applicable to all external communication about the system of quality management.

18. The response addressing communication internally within the firm has also been streamlined (paragraph 43(a) of **Agenda Item 2–A**), since the QCTF noted that the response was duplicative of the related quality objectives (paragraphs 42(b), 42(c) and 42(d) of **Agenda Item 2–A**). However, given the need to retain appropriate linkages with proposed ISA 220 (Revised), the response still includes a requirement for the firm to establish policies or procedures that address the nature, timing and extent of communication and matters to be communicated with engagement teams.
19. In the September 2018 draft of the standard, as part of the engagement performance component, there was a requirement for the firm to communicate the responsibility for implementing the firm's responses to engagement teams (paragraph 43(b)(i) of the September 2018 draft). However, the QCTF noted that this requirement should cover all firm personnel. Accordingly, a new requirement has been added in paragraph 43(b) of **Agenda Item 2–A**, which has replaced the requirement previously located in engagement performance.

Monitoring and Remediation

20. The QCTF noted various offline comments from the IAASB regarding whether paragraph 45 of **Agenda Item 2–A** is needed. Given the IAASB's decision for the monitoring and remediation component to be subject to the firm's risk assessment process, this requirement is necessary to ensure that the monitoring and remediation component reflects a similar structure and requirements as the other components of the system of quality management.
21. The QCTF has revised paragraph 47 of **Agenda Item 2–A** in response to the IAASB's views to more prominently recognize in-process reviews. Furthermore, the QCTF has reorganized this requirement to increase the emphasis on the consideration of risks when determining the nature, timing and extent of the inspection of in-process or completed engagements. The application material has also been updated to further clarify the difference between in-process reviews that are monitoring activities versus those that are responses to quality risks in the other components.

Networks

22. In response to offline comments from the IAASB, the QCTF refined and clarified the requirements addressing network requirements and network services. In particular, the QCTF:
 - (a) Has more explicitly differentiated between “network requirements” and “network services” in the requirements of the standard and clarified their meaning (see paragraphs 59 and A193–A194 of **Agenda Item 2–A**). The QCTF is of the view that anything required by the network, including resources or other services, is a network requirement and anything that may be voluntarily used by the firm is a network service.
 - (b) Agreed that the requirements of proposed ISQM 1 should not require the firm to implement the network requirements. The QCTF was concerned that if such a requirement did exist, it would elevate network requirements to the same status as the requirements of the standard. As a result, any non-compliance with network requirements would result in non-compliance with the standard, which is not the intention of the IAASB. The intention of the IAASB is to ensure that firms are satisfied that the network requirements or services are appropriate and to consider their effect on the firm's system of quality management.
 - (c) Has streamlined the requirements such that there is effectively a two-step process to:

- (i) Understand the network requirements or network services, as well as the firm's responsibilities (see paragraph 59 of **Agenda Item 2–A**); and
- (ii) Determine the effect of the network requirements or network services on the firm's system of quality management (see paragraph 61 of **Agenda Item 2–A**). In doing so the firm is required to take into account the appropriateness of the network requirements or network services for the firm's system of quality management, i.e., whether they need to be adapted or supplemented by the firm such that they are appropriate for the firm's system of quality management.

The supporting application material provides further clarification to address what the firm may need to do to obtain the understanding of the network requirements or network services, and how the network requirements or network services may affect the firm's system of quality management.

Matter for IAASB Consideration

1. The IAASB is asked to share their views on **Agenda Item 2–A**, including the significant matters highlighted in this paper.

Due Process Matters

23. In the QCTF's view, the significant matters identified by the QCTF as a result of its deliberations since the beginning of this project have been presented in the issues papers presented to the IAASB for discussion. In the view of the QCTF, there are no significant matters that have not been brought to the attention of the IAASB.
24. The QCTF does not believe that a consultation paper or field testing is needed at this stage of the project, as substantial outreach with a wide range of stakeholders has been undertaken, including through the ITC.

Matters for IAASB Consideration

2. The IAASB is asked to approve **Agenda Item 2–A** for exposure.
3. The IAASB is asked for its views on the matters to be included in the explanatory memorandum, as explained in **Agenda Item 2–D**.

Appendix 1

QCTF Activities Including Outreach and Coordination with Other IAASB Task Forces and Working Groups

1. The following sets out the activities of the QCTF including outreach with others and coordination with other IAASB Task Forces and Working Groups relating to the [quality control project](#).

Task Force Activities Since Last IAASB Discussion

2. Since the last IAASB discussion at the September 2018 IAASB meeting, the QCTF has met once in person and held four teleconferences.

Coordination with Other IAASB Task Forces and Working Groups and Other Standard Setting Boards

ISA 220 Task Force (TF) and ISQM 2 Task Force (TF)

3. Since the last IAASB discussion at the September 2018 IAASB meeting, the Chairs of the three Task Forces and staff held four teleconferences. Further coordination has also been facilitated through:
 - The overlap of Task Force members on each of the Task Forces.
 - Staff liaison and staff's cross-review of agenda papers.

Data Analytics Working Group (DAWG)

4. A draft of proposed ISQM 1 was circulated to the DAWG for input, and their comments were considered by the QCTF in finalizing **Agenda Item 2–A**.

IESBA

5. Since the last IAASB discussion at the September 2018 IAASB meeting, in addition to ad-hoc liaison and discussions at a staff level, the Chairs of the three task forces, the IESBA Liaison Member and various IAASB and IESBA Staff held a teleconference to discuss specific matters on the standards. The IESBA also provided offline comments on the draft of the standard prepared post the QCTF's October meeting, and the comments were considered by the QCTF in finalizing **Agenda Item 2–A**.

Appendix 2

Draft Minutes from the IAASB's September 2018 Meeting

Ms. French provided an overview of the proposals presented in the draft ED of proposed ISQC 1 (Revised). The IAASB:

- Noted the overall improvement since the previous draft, including with respect to scalability, and supported the general direction of the standard;
- Further encouraged the Quality Control Task Force (QCTF) to continue to simplify the standard, where possible, including simplifying the various explanations regarding the interrelationships of the components; and
- Encouraged the QCTF to continue to consider scalability as the standard is finalized, for example, examples for smaller firms, an appendix in the explanatory memorandum that highlights the scalability of the standard or videos or webcasts for small and medium-sized practitioners (SMPs).

With respect to the proposed diagrams depicting the components of the system of quality management, the IAASB supported the "house diagram."

The IAASB discussed the draft ED of proposed ISQC 1 (Revised), as set out in **Agenda Item 2–A**, and an updated version of certain sections was presented to the IAASB later in the week to respond to the IAASB's comments from earlier in the week, as set out in **Agenda Items 2–A.1 and 2–A.2**. The sections that were updated included the introduction, definitions, the firm's risk assessment process, information and communication, monitoring and remediation and networks.

INTRODUCTION

The IAASB supported the QCTF's revisions to the introduction, as presented in **Agenda Items 2–A.1 and 2–A.2**, and suggested further clarification to the description in paragraph 3 regarding "quality engagements."

With respect to professional skepticism, the IAASB:

- Supported the QCTF's conclusions regarding the exercise of professional skepticism in the context of judgments related to the system of quality management and encouraged the QCTF to continue its coordination with the IESBA regarding the applicability of the concept of professional skepticism to all professional accountants.
- Suggested referencing to the material in proposed ISA 220 (Revised) that addresses professional skepticism at the engagement level.

AUTHORITY

The IAASB in general supported the inclusion of an authority section in each of the ISQCs.

OBJECTIVE OF THE STANDARD

The IAASB supported the objective of the standard, however suggested that the explanatory memorandum seek the views of respondents as to whether a more explicit reference to the public interest should be included in the objective, given the request of the PIOB Observer and a Board member for such a reference.

DEFINITIONS

The IAASB discussed the various definitions (in particular the definitions for deficiencies, relevant ethical requirements, quality objectives, quality risks and the system of quality management). The IAASB had varying views regarding the proposed definition of deficiencies, as presented to the IAASB in **Agenda Item 2–A.1**, and recommended that the QCTF further develop this definition given the varying views.

GOVERNANCE AND LEADERSHIP

The IAASB provided various suggestions to clarify the requirements relating to governance and leadership and:

- Encouraged the QCTF to further consider the reference to “public interest” in the quality objective, taking into account the various comments about, and changes made to, the reference to public interest in the introductory section of the standard.
- Questioned whether operational responsibility for independence should instead be operational responsibility for relevant ethical requirements.

FIRM’S RISK ASSESSMENT PROCESS

The IAASB supported the QCTF’s revisions to the firm’s risk assessment process, as presented in **Agenda Items 2–A.1 and 2–A.2**, and recommended:

- Clarifying that in some instances the identification and assessment of quality risks may be undertaken simultaneously;
- Simplifying the requirements in paragraphs 33 and 34;
- Further consideration of the requirement for the firm to identify additional quality objectives, for example, whether it should be a more direct requirement for the firm to determine whether additional quality objectives are needed; and
- A more direct requirement for the firm to establish policies or procedures to identify changes in the factors affecting the firm’s system of quality management.

The IAASB also agreed that quality risks with a high magnitude of effect on the achievement of a quality objective but a low likelihood of occurrence would be included in the scope of “identified quality risks,” consistent with the approach in the exposure draft of ISA 315 (Revised).³

RELEVANT ETHICAL REQUIREMENTS, ACCEPTANCE AND CONTINUANCE AND ENGAGEMENT PERFORMANCE

The IAASB provided various suggestions to further clarify the components addressing relevant ethical requirements, acceptance and continuance of client relationships and engagements and engagement performance. The IAASB indicated that the component for relevant ethical requirements should also take into account others outside of the firm, i.e., service providers, who may also have a responsibility to fulfill relevant ethical requirements in the context of the services they provide to the firm.

RESOURCES

In addition to various suggestions for clarification and improvement, the IAASB suggested:

³ Proposed ISA 315 (Revised), *Identifying and Assessing the Risks of Material Misstatement*

- Moving this component before information and communication, given that it is of the same nature as information and communication; and
- Coordinating with the Data Analytics Working Group on the use of information technology.

INFORMATION AND COMMUNICATION

The IAASB considered the QCTF's revisions to the information and communication component, as presented in **Agenda Items 2–A.1 and 2–A.2**. The IAASB:

- Encouraged the QCTF to include a more direct reference to transparency reports in the requirement;
- Requested the QCTF to specifically refer to the firm in determining when it would otherwise be appropriate to communicate externally, as required by paragraph 44(e); and
- Raised concern that the population of stakeholders suggested in the application material in paragraph A123 is too broad, given the reference to future stakeholders.

MONITORING AND REMEDIATION

The IAASB considered the QCTF's revisions to the monitoring and remediation component, as presented in **Agenda Items 2–A.1 and 2–A.2**, and suggested:

- A more explicit reference to in-process reviews in the requirement of paragraph 49; and
- Revisions to the requirement and application material addressing the cyclical inspection of completed engagements, such that more focus is placed on selecting engagement partners or engagements for inspection based on risk.

NETWORKS

The IAASB supported the QCTF's revisions for network requirements and services, as presented in **Agenda Items 2–A.1 and 2–A.2**, in particular the revisions to differentiate between aspects of the system of quality management that are required by the network versus those that the firm may choose to use in its system of quality management.

Given the various concerns raised by stakeholders regarding the evolution of networks and their influence on firms, the IAASB suggested undertaking a research project to find out more about networks and their structures, and noted this could be considered as part of the IAASB's strategy and work plan.

SERVICE PROVIDERS

The IAASB suggested clarifying the scope of service providers in the context of the use of information technology from service providers.

TITLE OF THE ISQCS

The IAASB agreed to amend the title of the quality control standards from "International Standards on Quality Control" to "International Standards on Quality Management" and recommended exploring the effect of the change on jurisdictions through an explicit question in the explanatory memorandum to the ED.

ADDITIONAL PUBLICATIONS

The IAASB supported the QCTF's proposals to develop additional publications to accompany the ED that further explain the application of the standard to firms of varying size or complexity and provided various further suggestions. The IAASB recommended that the proposed publications be issued after the publication of the ED in order that the IAASB's resources are appropriately focused on the finalization of the ED.

OTHER MATTERS RELATED TO THE ED

The IAASB noted the length of the three quality control standards and encouraged the QCTF to collaborate with the ISA 220 Task Force and ISQC 2 Task Force in presenting the three EDs in a manner that is simple to understand.

IAASB CAG CHAIR'S REMARKS

Mr. Dalkin highlighted that the CAG had noted the improvement to the standard and that it is much clearer than previous drafts, although the CAG continues to have concerns regarding the size of the standard, particularly for SMPs. Mr. Dalkin also noted the CAG's support for how the reference to the public interest had been addressed in the standard. He added that the CAG had discussed the broader issue of the public interest concept in the context of the profession, and how this is being addressed.

PIOB OBSERVER REMARKS

Mr. van Hulle supported the references to public interest throughout the standard, however raised concern that it is not included in the objective of the standard. In relation to the requirements addressing communication with external parties, Mr. van Hulle:

- Encouraged the explicit use of the term "transparency reports."
- Questioned the references to "when required by law or regulation," since law or regulation already requires the communication.

Mr. van Hulle noted that the standard addresses the effect of the firm's business model on quality, however sought a reference to "commercial considerations" in the requirements. He also suggested including a reference to the size of the firm when referring to the nature and circumstances of the firm.

WAY FORWARD

The QCTF will consider the matters raised by the IAASB and will present the draft ED of proposed ISQC 1 (Revised) to the IAASB in December 2018 for approval.